

ICA - Class I Reading

Authority of an arbitration tribunal rests on an agreement between the parties executed in accordance with law.

There can be two forms of such agreements: one which submits existing disputes to arbitration, the other which covers disputes that may arise in the future. The first is called a *compromis*, the other is called a *clause compromissoire*.

The UNCITRAL Model Law and New York Convention provide the mechanism for compelling arbitration in the existence of a valid arbitration agreement. In this regard, Article II of the New York Convention states that the courts of a contracting state, when seized of a matter in which the parties have made an arbitration agreement, shall refer the parties to arbitration unless the agreement is null and void, inoperative, or incapable of being performed.

These references can also be categorized into two registers: 1. **An independent suit**, where a party may bring an action to clarify the validity of the arbitration agreement or refer the parties to arbitration, having clarified the existence and validity of such agreement and the competence of the tribunal. 2. **An embedded suit**, where parties to the contract file a dispute before the court that may have already been contemplated to be covered by the arbitration agreement, and the respondent therefore prays to refer the matter to an arbitral tribunal in accordance with the said agreement.

The New York Convention mandates that party states must in both cases refer the parties to arbitration unless the three prescribed conditions are met.

The word “arbitrability” has two meanings. In a narrower sense, it refers to whether the mandatory applicable law in a given jurisdiction allows or disallows the arbitration of disputes. Construed broadly, it may also mean disputes or issues concerning the existence, validity, and scope of the arbitration agreement. Issues concerning arbitrability can be determined by both courts and the tribunal. However, the *competence-competence* principle clarifies that arbitrators have the capacity to decide upon their own competence, whereas the conclusion of arbitrators on this issue can be reviewed by courts in recognition or set-aside proceedings.

The dilemma is whether in such cases the court must determine this issue, or whether it should be left to the tribunal to adjudicate the same. The question concerning arbitrability is much more a question of whose decision is final. At the stage of reference, the court deals with the question of who decides, and it again faces this dilemma in set-aside proceedings while considering whether the arbitrator’s determination of competence is correct.

At the reference stage, an extremely pro-arbitration legal order might send all of these questions to the arbitrator. At the same time, each party must have the right to have its day in court; a party cannot be presumed to have agreed to arbitrate or be prejudiced by having to go before the arbitral tribunal, put forth its case regarding the lack of competence, possibly lose, and then come before the court under Section 34 within the limited grounds available to challenge the jurisdiction of the arbitrator. That is a long, winding route for an issue that could have been resolved at the reference stage. Therefore, there is a competing value between a pro-arbitration stance—which

allows arbitration tribunals to be constituted and protects agreements from being frustrated—and ensuring that a litigant with a *bona fide* cause is not put through the arbitration system through no fault of their own.

Even a pro-arbitration national legal system will draw back from automatically referring all issues concerning existence, validity, and scope to arbitrators at stage one (the reference stage).

There are two approaches internationally to resolve this dilemma:

- **In the US**, the courts categorize prospective challenges on two grounds. If the party disputes the existence of the container or matrix contract and therefore derivatively argues that the arbitration agreement is also invalid, such questions are to be determined by the arbitration tribunal itself. For instance, a claim that the entire transaction is founded on fraudulent misrepresentation shall be determined by the arbitral tribunal on merits. Conversely, where the issue concerns the validity of the arbitration agreement or clause itself, such claims will be decided by the court. This is, at its core, the principle of separability, where the matrix contract and the arbitration clause are treated as two separate contracts, ensuring the arbitration agreement survives the death of the matrix contract. This rule was developed by the Supreme Court in *Prima Paint Corp. v. Flood & Conklin Mfg. Co.*, 388 U.S. 395 (1967).
- **France** has developed the idea of negative *competence-competence*. The positive concept of *competence-competence* requires that the arbitrator have the authority to determine their own jurisdiction and decide the merits of the dispute. The negative principle operates in tandem and posits that in order to give effect to the positive concept, the court must restrict the exercise of its jurisdiction over the question of arbitrability. It is only when the court refuses to entertain such pleas and refers the matter to arbitration that the arbitrator is able to exercise jurisdiction regarding such determinations. Therefore, in France, this leads to two consequences:
 1. Where the tribunal is already seized of the question regarding competence, the court will *prima facie* refuse jurisdiction and require the parties to continue proceedings before the tribunal.
 2. If the tribunal is not yet seized of the question, French courts will retain jurisdiction only in cases where it is shown that the arbitration agreement is manifestly null. These elements are provided for in the French Code of Civil Procedure under Article 1458 (now Article 1448).

Valid Arbitration Agreements

Article II of the New York Convention establishes the principal requirements for an arbitration agreement to be valid. This is also called a formal requirement. At its core, the prescription in Article II requires that an arbitration agreement should be in writing. The Article further defines “in writing” broadly to include telex, faxes, email, or other such communication.

It has been observed and accepted that Article II lays down a minimum requirement for the existence of an arbitration agreement. A contracting state may want to impose stricter conditions; however, in no circumstance can there be an oral or tacit arbitration agreement, since that would violate the express mandate of Article II.

It has also been observed that the validity of the arbitration agreement is fundamentally determined by Article II and not by the provisions of national law, specifically in international commercial arbitration. Although this view has its dissidents—for instance, German courts have taken the view that a signed arbitration agreement may not be strictly necessary, relaxing the requirement found in Article II—there is a constant attempt to dilute the strict writing requirements enshrined in the New York Convention. UNCITRAL itself has, in Article 7 of the Model Law, taken a liberal view of what constitutes an arbitration agreement.